



Our Ref: 250/LC/24

12 July 2003

**Circular to Licensed Corporations
Common Anniversary Date Program**

This circular serves to reiterate the Common Anniversary Date (“CAD”) Program implemented by the SFC for licensed persons. While participation in this Program is not mandatory, licensed corporations are encouraged to join the Program for their own benefits.

Annual submission requirements

Pursuant to section 138 of the Securities and Futures Ordinance, licensed corporations and licensed representatives are required to pay annual fees and submit annual returns within one month after each anniversary date of the grant of their licences, or by such other date as may be approved by the SFC by notice in writing.

CAD Program

As in the former regime, the SFC implements an optional annual submission arrangement through which a licensed corporation or a group of related licensed corporations may select one common anniversary date to submit annual returns and pay annual fees for all the corporation(s) and representatives concerned. A common anniversary date can be any date proposed by the licensed corporation(s) and agreed by the SFC.

It is believed that participation in the CAD Program could save the administrative costs incurred by licensed corporations in preparing annual submissions for their representatives as they can enjoy the convenience of processing all related annual submissions in one single batch.

After joining the CAD program, a licensed corporation will receive from the SFC an Annual Fee and Annual Return Combined Listing (“Combined Listing”) around its common anniversary date every year. The Combined Listing will show a breakdown of the licensed corporations and representatives belonging to the same CAD group as at its common anniversary date. It will also state the annual fee payable by each of the CAD group members. A sample Combined Listing is attached at **Annex 1**.



On receipt of the Combined Listing, a licensed corporation should verify the information contained therein. The Combined Listing as completed and duly certified true and accurate by a responsible officer¹ of the corporation should be returned to the SFC together with the required annual fee and annual returns (or no change declarations, where appropriate) within the submission deadline. If a corporation wishes to make any amendment to the Combined Listing (for instance, one of its representatives included in the list had recently ceased to act for the corporation due to resignation but such cessation had not yet notified the SFC), it can mark the amendment on the Combined Listing and state the reasons for such amendment under the “Remarks” column. It should be noted however that the corporation is still required to formally notify the SFC by completing Form 5 of such cessation within 7 business days after the cessation.

New representatives

A representative with accreditation to a licensed corporation that participates in the CAD Program will be included in the CAD group of his principal automatically. Therefore, upon the grant of the representative’s licence or on the approval of the representative’s change of accreditation application, the SFC will adjust the annual fee payable by that representative with a view to aligning his original anniversary date with his principal’s common anniversary date. If it happens that the representative’s original anniversary date falls on a date earlier than his principal’s common anniversary date, a shortfall in his annual fee will occur. In that case, the SFC will issue a debit note to both the representative and his principal requesting for payment of the annual fee shortfall.

How to join the CAD program

Licensed corporations interested in joining the CAD Program may apply to the SFC in writing with 2 common anniversary dates proposed in order of preference. No application fee is required. You may refer to **Annex 2** for a sample application letter.

Existing participants of the CAD Program need not re-apply and they will continue to enjoy the convenience brought by the Program.

Should you have any queries on the above, please contact your responsible Intermediaries Relationship Manager of the Licensing Department.

Licensing Department
Intermediaries and Investment Products Division
Securities and Futures Commission

¹ In the case of a CAD group consisting of more than one licensed corporation, the responsible officer signing the Combined Listing should have sufficient authority and be familiar with the overall affairs of the group.



Securities and Futures Commission
Annual Fee and Annual Return Combined Listing
ABC Securities Group Common Anniversary Date ("CAD") Group

Common Anniversary Date (DD/MM): 01/06

IMPORTANT: Please complete this Listing and return it together with the required annual fee payment and annual returns before 1 JULY 2003. Late payment of annual fee will incur surcharge.

Details of license holder			Annual Fee			Annual Return					Remarks
Name of licensee	CE No.	RA	Cover from date	Cover to date	Amount (HK\$)	Reporting period from	Reporting period to	Submitted w/o change	Submitted w/ change	Submit later	(for late / non submission)
		(Note 1)						(Note 2)		(Note 3)	
A. ABC Securities (Asia) Limited	ABC123	1	01/06/2003	31/05/2004	4,740	01/04/2002	31/05/2003	[]	[]	[]	_____
		4	01/06/2003	31/05/2004	4,740			[]	[]	[]	_____
				Subtotal	9,480						
1. CHAN Peter	ABC001	1	01/06/2003	31/05/2004	1,790	09/01/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	1,790						
2. WONG David	ABC002	1(RO)	01/06/2003	31/05/2004	4,740	01/04/2002	31/05/2003	[]	[]	[]	_____
		2(RO)	01/06/2003	31/05/2004	4,740			[]	[]	[]	_____
				Subtotal	9,480						
3. FUNG Michael	ABC003	1	21/06/2003	31/05/2004	1,694	21/06/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	1,694						
4. LEUNG Joe	ABC004	1(RO)	25/09/2003	31/05/2004	3,241	25/09/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	3,241						
			Company	Total	25,685						

SAMPLE

Details of license holder			Annual Fee			Annual Return					Remarks
Name of licensee	CE No.	RA	Cover from date	Cover to date	Amount (HK\$)	Reporting period from	Reporting period to	Submitted w/o change	Submitted w/ change	Submit later	(for late / non submission)
		(Note 1)						(Note 2)		(Note 3)	
B. ABC Securities Brokers (Asia) Limited	ABC234	1	01/06/2003	31/05/2004	4,740	01/04/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	4,740						
1. JOHN Smith	ABC005	1(RO)	01/06/2003	31/05/2004	4,740	01/04/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	4,740						
2. WHITE David	ABC006	1	01/06/2003	31/05/2004	1,790	01/04/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	1,790						
			Company	Total	11,270						
C. ABC Futures Hong Kong Limited	ABC345	2	01/06/2003	31/05/2004	4,740	01/04/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	4,740						
			Company	Total	4,740						
D. ABC Structured Funds (Asia) Limited	ABC456	2	01/06/2003	31/05/2004	4,740	01/04/2002	31/05/2003	[]	[]	[]	_____
				Subtotal	4,740						
			Company	Total	4,740						
				CAD Group Total	46,435						

SAMPLE

Note 1 – Type of Regulated Activities ("RA"):

- 1 - Dealing in securities
- 2 - Dealing in futures contracts
- 3 - Leveraged foreign exchange trading
- 4 - Advising on securities
- 5 - Advising on futures contracts
- 6 - Advising on corporate finance
- 7 - Providing automated trading services
- 8 - Securities margin financing
- 9 - Asset management

"RO" means a licensed representative who is approved as a Responsible Officer of the licensed corporation.

Note 2 – Please tick "Submitted w/o change" if the licensee submits his/her Annual Return along with this Listing, and there were no changes during the reporting period. Please tick "Submitted w/ change" if the licensee submits his/her Annual Return along with this Listing, and there were changes during the reporting period. Any changes should be reported in the Annual Return.

For licensed corporations, use Form 7 (Annual Return for Licensed Corporation) and for licensed representatives, use Form 8 (Annual Return for Licensed Representative).

Note 3 – Please tick "Submit later" if the licensee is not able to submit his/her Annual Return along with this Listing and indicate in the "Remarks" column when the Annual Return will be submitted to the Commission. **All licensees should submit their Annual Returns to the Commission before the deadline. Late submission may result in revocation of their licences.**

Certificate

I certify that ABC Securities (Asia) Limited, on behalf of this CAD group, has filled in this form accurately and truthfully.

Name: _____

Position*: _____

Signature: _____

Date: _____

** To be certified by a Responsible Officer possessing sufficient authority and familiar with the overall affairs of this CAD group.*

Ref: _____ (*CE number of applicant corporation*)

Date: _____

Licensing Department
Securities and Futures Commission
8th Floor, Chater House
8 Connaught Road Central
Hong Kong

Dear Sirs,

Common Anniversary Date (“CAD”) Program

We, _____ (*name of applicant corporation*), would like to apply to participate in the CAD Program for the purposes of annual submissions.

Our proposed common anniversary dates in order of preference are as follow:-

1. _____ (*date/month*)
2. _____ (*date/month*)

The following licensed corporations are also proposed to be included in our CAD group.

Name of corporation

CE Number

1.

2.

For queries, please contact _____ (*name and title of contact person*) at _____ (*contact phone number*).

Yours faithfully,
For and on behalf of

(*name of applicant corporation*)

(*Signed by a responsible officer of applicant corporation*)

Name of signatory: _____

Title of signatory: _____